

19 Setting assumptions

3 primary questions | Oldest to newest

2026 objectives: 4.2.1

12 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

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CA1-P2 April 2014 Q3	11 marks
CA1-P2 September 2015 Q6	18 marks
CA1-P2 April 2017 Q4	14 marks

CA1-P2 | April 2014 | Q3

Current topic | 11 marks total | Original PDF p2

Related: Ch 18, Ch 38.

- 3** A large life insurance company has just completed its internal lapse experience analysis. The lapse rates are lower than for competitors with similar products (as shown in industry results). A director of the company has suggested that the internal analysis may not be correct and that the industry average lapse rates should be used instead.
- (i) Discuss the reasons for the suggestion to use industry lapse experience and why this may not necessarily be a good idea. [6]
- (ii) Describe the validation that should be carried out on the internal experience analysis. [5]
- [Total 11]

CA1-P2 | September 2015 | Q6

Current topic | 18 marks total | Original PDF p4

Related: Ch 18, Ch 30.

- 6** An organisation sponsors a defined benefit pension scheme for its employees. Employees will receive a pension based on final salary and length of service on retirement at age 65 or on earlier retirement on the grounds of ill health.
- If they leave the organisation before retirement they will receive a deferred pension (based on salary and length of service at date of leaving) payable on reaching age 65. If they die whilst they are still employed by the organisation, a death benefit of four times salary will be paid as a cash sum.
- The organisation has asked an actuary to investigate the estimated value of these benefits if the scheme is maintained in its current form.
- (i) List the assumptions the actuary will need to make when carrying out the investigation. [4]
 - (ii) Discuss the suitability of the historical data likely to be available for determining each of the assumptions in (i). [10]

CA1-P2 | September 2015 | Q6 - continued

[Current topic](#) | [18 marks total](#) | [Original PDF](#) p5

Related: Ch 18, Ch 30.

The investigation has concluded that the costs of providing the current benefits are too high and that changes to benefits are needed.

The organisation wishes to retain the scheme and its broad, general features. But at the same time they would like to consider options for reducing the cost.

- (iii) Suggest possible ways in which both of these objectives could be met. [4]
[Total 18]

CA1-P2 | April 2017 | Q4

[Current topic](#) | [14 marks total](#) | [Original PDF p3](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 4** The regulatory regime for employer sponsored defined benefit pension schemes in a developed country allows the trustees of a scheme to set their own funding level.
- (i) List six main assumptions that will be needed. [3]
- (ii) Discuss why different schemes might use different assumptions in setting their funding level. [11]
- [Total 14]